

ORIGINAL

(S E R V E D)
(May 1, 2001)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

DOCKET NO. 96-13

HOLT CARGO SYSTEMS, INC., ET AL.

v.

DELAWARE RIVER PORT AUTHORITY, ET AL.

ORDER AFFIRMING ALJ'S APPROVAL
OF SETTLEMENT AGREEMENT AND DISMISSAL
OF COMPLAINT WITHOUT PREJUDICE

INTRODUCTION

Complainants Holt Cargo Systems, Inc., Holt Hauling and Warehousing Systems, Inc., and Astro Holdings, Inc. and respondents Pasha Auto Warehousing, Inc. ("Pasha") and the Philadelphia Regional Port Authority ("PRPA") submitted a joint stipulation and settlement agreement in this now 5 year-old proceeding which was approved conditionally by Administrative Law Judge Frederick M. Dolan, Jr. This dispute involves conflicting claims of Pasha and Holt to the use and development of one of the piers and associated property on the Philadelphia waterfront controlled by PRPA as well as Pasha's claims that PRPA's lease of the Packer Avenue Marine Terminal and additional properties to Holt involve obligations in conflict with PRPA's obligations to construct facilities and maintain depth at the disputed pier for Pasha's use. The disputed

Pier 96 South is adjacent to other piers and parcels operated by Holt as marine terminals, and is used, along with the associated Pier 98 South Annex parcel, by Pasha for the loading, discharge and servicing of automobiles through the Port of Philadelphia. There is, as well, related litigation between these parties pending in the U.S. District Court for the Eastern District of Pennsylvania.¹

The settlement agreement provides for joint use of the disputed facilities through the medium of preferential and secondary berthing rights for the duration of the related Construction and Sublease Agreement and Interim Lease between PRPA and Pasha. The parties specifically agree that Pasha has preferential berthing rights at Pier 96 South, and the agreement recognizes or creates reciprocal secondary berthing rights for Holt at Pier 96 South and certain preferential berthing rights for Pasha at the Packer Avenue Marine Terminal during the term of the agreement.

ALJ Dolan concluded that the settlement "has significant prospective value because it permits the parties to seek to direct their resources to enhance the productivity of the Port of Philadelphia for the benefit of all users . . . of the Port's

¹ Pasha Auto Warehousing, Inc. v. Philadelphia Regional Port Authority, Holt Cargo Svstems, Inc, Holt Hauling and Warehousing Systems, Inc., and Astro Holdings, Inc., Civil Action No. 96 - 6779, E.D. Pa.

facilities" which supported its approval under the Commission's 'strong policy favoring settlements." Order, Complainants' and Respondents' Joint Stipulation to Dismiss the Complaint Without Prejudice Approved on Condition, served April 13, 2001 ("April 13 Order"), at 4. The sole condition imposed on dismissal of this complaint proceeding by the ALJ was that the settlement agreement, which also constitutes an agreement among the parties filed with the Commission pursuant to section 5 of the Shipping Act of 1984 ("1984 Act"), 46 U.S.C. app. § 1704, becomes effective pursuant to section 6, 46 U.S.C. app. § 1705.²

The parties filed their agreement with the Commission on March 20, 2001. In connection with that filing, PRPA and Pasha have filed their related Construction and Sublease Agreement and Interim Lease which were incorporated by reference in the settlement agreement. The settlement agreement also commits Pasha and PRPA to inform Holt of the terms of any settlement agreement reached in the related dispute being litigated in the District Court. The parties

² Section 5 provides, *inter alia*, that "[a] true copy of every agreement with respect to an activity described in section 4(a) or (b) of this Act shall be filed with the Commission . . ." Agreements among marine terminal operators to "engage in exclusive, preferential, or cooperative working arrangements" involving ocean transportation in U.S. foreign commerce are among the activities described in section 4(b). Pursuant to section 6 of the Act, unless rejected or subjected to a request for additional information, agreements become effective "on the 45th day after filing" or upon expiration of a shorter period if the Commission grants a request for expedited review from the parties. The parties did not request expedited review.

have also stated that they will inform the Commission of any settlement reached or, if the issues must be disposed of by the Court, the terms of that disposition, which will affect the term of duration of the present settlement agreement as well as the Construction and Sublease Agreement and Interim Lease. Thus, the Commission has been provided a complete picture of the present agreements among the parties.

By separate action, the Commission has completed its review of the filed agreement and notified the parties that it will take no action to prevent it from becoming effective on the 45th day after filing pursuant to Section 6, i.e. on May 4, 2001. Therefore, the sole condition established by ALJ Dolan for dismissal of the complaint will have been fulfilled. By agreement of the parties, however, the substantive provisions contained at paragraphs 1 through 13 of the settlement agreement will not become "formally effective" until issuance of a final order dismissing Docket No. 96-13. The Commission affirms ALJ Dolan's Order of dismissal so that the settlement agreement may become formally effective by its terms at the earliest opportunity.

NOW THEREFORE, IT IS ORDERED, That the Administrative Law Judge's Order dismissing the complaint served April 13, 2001 is affirmed; and

- 5 -

IT IS FURTHER ORDERED, That this proceeding is discontinued.

By the Commission.



Bryant L. VanBrakle
Secretary